# Hong Leong Bank

# INDUSTRY OVERVIEW

***AI is reshaping banking but enterprise adoption remains uneven.***

Financial institutions face growing pressure from sophisticated financial fraud, stricter regulations, and rising customer expectations for personalized digital services. Consequently, artificial intelligence (AI) has evolved from an efficiency tool into a strategic capability across the financial value chain. **Despite strong momentum, enterprise-wide AI adoption remains uneven.**

**Only 58% of finance organizations have actively deployed AI, indicating that many institutions are still struggling to move beyond experimentation.**

## The next challenge

As financial ecosystems become more digital and interconnected, the next challenge is no longer simply deploying AI, but how to simultaneously support **a more sustainable and inclusive financial system.** Organizations that can successfully integrate these objectives into **AI-driven strategies** will be better positioned to create long-term competitive advantage in an increasingly complex financial landscape.

# BUSINESS OVERVIEW

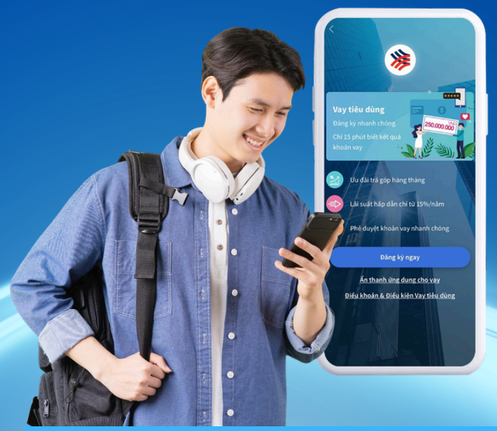
With a 120-year heritage of entrepreneurship and innovation in Malaysia, **Hong Leong Bank (HLB)** is a leading regional financial institution with an expanding international presence across Malaysia, Vietnam, Singapore, Hong Kong, Cambodia and China. **HLB Vietnam** is especially proud to be the first Malaysian bank to establish operations in Vietnam. Since 2009, we have grown our presence in Ho Chi Minh City and Hanoi, serving individuals and businesses with trusted, innovative financial solutions while connecting the strengths and opportunities of Malaysia and Vietnam.

Our commitment to **innovation** and **customer experience** has also been recognised through three Digital CX Awards 2026 by The Digital Banker, including Best Digital Bank for Customer Experience in Vietnam, Best SME Bank for Customer Experience in Vietnam and Southeast Asia. Beyond banking, we believe our people are at the heart of our growth. At **HLB**, we create opportunities for our people to learn, grow, innovate and make a meaningful difference.

If you are looking for a dynamic and forward-thinking organisation where your ideas and talents can thrive, come grow with us and build a rewarding future together at **HLB Vietnam**.

# CREDIT AS PART OF THE PURCHASE EXPERIENCE

## *Customers needs*




In Vietnam, consumers purchase goods and services across physical stores, e-commerce platforms, and merchant applications. **For larger purchases**, some customers may wish to pay over time rather than in full. When financing is not available at that moment, a customer may delay the purchase, abandon it, or seek credit outside the formal banking system. **Customers increasingly expect credit to be available within the shopping journey**, simple to apply for, approved within minutes rather than days, and offered at a fair and transparent cost.

In Hong Leong Bank Vietnam, **credit is extended through an application journey designed for branch lending.** A customer seeking financing through a merchant or partner platform is redirected into a separate process: physical or scanned document submission, verification, credit officer review against credit bureau records, and a decision after several days.

# CREDIT AS PART OF THE PURCHASE EXPERIENCE

**Assessment in this journey draws on formal credit bureau history and collateral.**

**For salaried customers** with existing loans or credit cards, these records provide a workable basis for a decision.

**For young professionals, gig and platform workers, and small online merchants,** such records may be short or absent, even when the customer earns and transacts actively through digital channels.

Income received through platforms, e-wallet activity, and online sales histories exist as records within the bank, its partners, or third parties, but **a document-based review does not draw on them.**

Each review is performed manually. The process takes **several days** and carries a **fixed cost per application, regardless of loan size.**

**For large branch loans,** this cost is small relative to the loan.

**For a small-ticket loan** requested at a checkout, the review may cost more than the loan earns, and the decision arrives after the purchase moment has passed.

# BUSINESS PROBLEM

**Hong Leong Bank Vietnam aims to build point-of-purchase lending into a commercially viable business line.**

This requires the bank to assess creditworthiness beyond the bureau file, extending reliable risk assessment to young professionals, gig and platform workers, and online merchants.

It also requires verifying that each applicant is who they claim to be, and that each application is genuine, in real time during the digital journey, without introducing the document friction that causes applicants to abandon the process today.

Within merchant and partner ecosystems, the bank seeks to identify which customers are most likely to need, accept, and responsibly use embedded credit, so that offers are targeted and relevant rather than broadcast to all.

Approval decisions must be delivered within the purchase moment, at a cost per decision proportional to small-ticket loan sizes, while maintaining risk quality, responsible lending standards, and regulatory compliance.

# EXHIBIT 1: CUSTOMER SEGMENTATION AND CREDIT ASSESSMENT

| Customer Profile | Current Approval Rate & Terms | Internal Visibility & Observability | Risk Assessment Basis & Behavioral Patterns | Underwriting Challenge or Mitigation under STP |
|---|---|---|---|---|
| **Salaried,** **with** credit history | **Highest** approval rate, largest ticket sizes, and lowest pricing. | **Most visible**; the bank sees their transaction history directly through existing account data. | Formal bureau records (CIC) and existing credit/loan history **provide an established baseline** | **Strong risk profile regardless of method**; STP maintains terms while automating execution. |
| **Salaried,** **no** credit history | **Moderate to low approval rate**; limited by the lack of prior credit bureau records. | **Visible if existing account holders**; otherwise observable primarily upon application. | Stable monthly inflows; regular salary transfers **provide proof of income stability.** | **Requires assessing regular income inflows** rather than relying strictly on bureau files. |

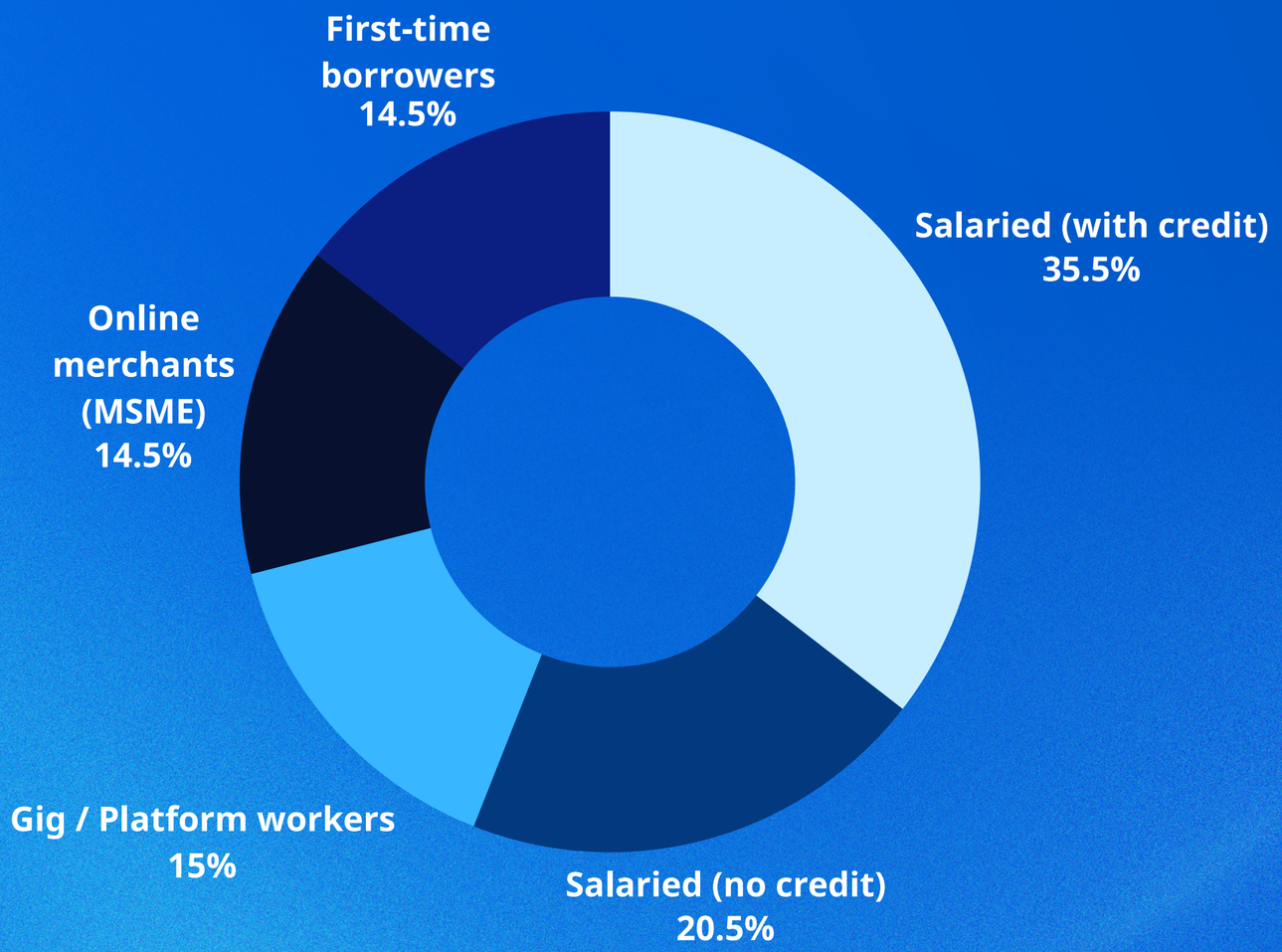
# EXHIBIT 1: CUSTOMER SEGMENTATION AND CREDIT ASSESSMENT

| Customer Profile | Current Approval Rate & Terms | Internal Visibility & Observability | Risk Assessment Basis & Behavioral Patterns | Underwriting Challenge or Mitigation under STP |
|---|---|---|---|---|
| **Gig or Platform workers** | **Lowest approval rates today alongside first-time borrowers;** frequently declined despite suspected repayment ability. | **Low direct visibility until applying,** unless linked via platform partners or digital channels. | Income received through platforms; consistent purchasing patterns and regular platform activity. | **Lacks traditional documentation.** |
| **Online merchants (MSME)** | **Frequently declined** despite officers observing operational cash flows. | **Moderate to low visibility** prior to credit application. | High transaction activity, digital sales histories, and recurring business cash inflows. | **Mitigated by onboarding to a CASA account early** to build observable transaction records prior to credit decisions. |
| **First-time digitally active borrowers** | **Lowest approval rates** due to lack of scorable traditional credit data. | **Almost invisible** to the bank until they submit a credit application. | Digital footprints including e-wallet top-ups, telecom usage patterns, and on-time utility bill payments. | **Cannot be assessed** by standard scorecards. |

# EXHIBIT 2: POINT-OF-PURCHASE PILOT
# OPERATIONAL BASELINE & INBOUND APPLICATION MIX

| Operational Parameter | Baseline Value |
|---|---|
| Requested Financing Range | 1,600,000 – 90,100,000 VND |
| Available Loan Tenures | 3, 6, 9, 12, 18, 24 months |
| Underwriting Workflow | Centralized Manual Review |
| Internal Processing Cost Benchmark | 380,000 VND / application |
| Decision Turnaround Time Range | 1.8 – 4.6 business days |

## Inbound Application Mix



# JOBS TO BE DONE

**Using the information provided and considering the operating conditions of Vietnam and other developing markets, please do these tasks:**

1. Identify the **bottleneck and analyse the root** of the problem.

2. Propose a **business solution with key metrics to demonstrate its effectiveness**. AI solutions are acceptable, provided they demonstrate clear, incremental value compared to the current operational baseline.

3. Propose the **operational mechanism of the AI/ non-AI solution**.

***Teams may make reasonable assumptions where information is unavailable, but all assumptions must be stated clearly.***

# MARKING RUBRIC

| No. | Evaluation Criteria | Assessment Details |
|---|---|---|
| 1 | **Problem Diagnosis (20%)** | - Precisely isolate the core bottleneck or tightly coupled decision point(s) with the highest operational leverage.<br>- Clearly demonstrate the root cause and mechanism driving this bottleneck. |
| 2 | **Intervention Justification (30%)** | - Prove how the core mechanism directly resolves the identified bottleneck.<br>- Prove how the core mechanism creates measurable business benefits (e.g., speed, operational efficiency, or customer experience).<br>- Prove the solution is practically feasible to execute, with an innovative and well-reasoned intervention logic:<br>+ **If proposing AI:** Demonstrate how AI creates superior value and why it is operationally viable to implement effectively.<br>+ **If proposing Non-AI:** Demonstrate how a lean process or creative rule-based redesign solves the problem practically with high operational feasibility and resource efficiency. |
| 3 | **Solution Concept (35%)** | - The solution demonstrates a clear and feasible data-to-decision architecture (identifying required data inputs, logical framework, outputs, and subsequent business actions).<br>- The solution has a comprehensive impact on the community, or the solution is sustainable and can be maintained long-term financially and environmentally.<br>- Accurately define operational KPIs that directly measure bottleneck relief, avoiding disconnected macro statistics. |
| 4 | **Data and Assumptions (10%)** | - Explicitly state all assumptions made. Assumptions must be realistic and logically anchored in case data or credible operational benchmarks. |
| 5 | **Visualization (5%)** | - Use a 1920 × 1080 (16:9) layout in PDF file (1 -page), features a clear visual hierarchy between primary and secondary information. |

# BRAND ASSETS

## Vertical logo

## Horizontal logo

## Typeface

NOTO SANS

**NOTO SANS**

NOTO SANS

**NOTO SANS**

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# ACKNOWLEDGEMENTS

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